

Standards of Precedence

Purpose: The order-of-precedence the auditor applies when two rules disagree. Every finding must cite which level it comes from. When a stricter level applies, it wins — you never relax a requirement because a lower level allows it. This is the compliance equivalent of the “Standing rules” in `market-watch/n8n-analysis-prompt.md`.

Golden rule: the strictest applicable requirement governs. Regulation, operator variation, and state variation stack — the shipment must satisfy all of them at once, not just the base rule.

1. Dangerous Goods by air (DGD, AWB handling, dry ice, lithium, biologicals)

Order of precedence, highest first:

1. **State variations** (origin, transit, AND destination country variations) — e.g. `USG` , `CAG` .
2. **Operator variations** (the specific airline’s published variations) — e.g. `FXG` , `LHG` .
3. **IATA DGR, 67th Edition** (the edition Kenya is certified on) — the working ruleset.
4. **ICAO Technical Instructions** — the legal source IATA DGR is built on; IATA is equal-or-stricter.
5. **49 CFR (US DOT/PHMSA)** — governs the US ground legs and US domestic movement.

Rule of thumb: **IATA DGR is the day-to-day authority for air, but a state or operator variation that is stricter overrides it.** If IATA and 49 CFR conflict on a US domestic ground leg, 49 CFR governs that leg.

2. Cold chain / pharma temperature and quality (GDP/ GMP, temp logs, CoA, excursions)

1. **The product’s own label / marketing authorization storage condition** (e.g. “store 2–8 °C”). This is the floor — never widen it.
2. **Destination-country GDP/GMP regulation** (e.g. EU GDP Guidelines 2013/C 343/01; FDA 21 CFR 210/211 for US drug GMP).
3. **IATA CEIV Pharma / IATA Temperature Control Regulations (TCR)** for the air-transport leg.
4. **WHO TRS 961 Annex 9 / USP <1079>** as supporting good-practice references.
5. **Customer SOP / quality agreement**, when stricter than the above.

Rule of thumb: **the narrowest temperature range and the strictest retention/documentation requirement win.** A CoA or temp log that meets IATA but violates the product label fails.

3. Customs / trade documentation (commercial invoice, packing list, entry)

1. **Destination-country customs law** (for US import: 19 CFR; CBP rulings).
2. **Origin-country export controls** (e.g. US EAR/OFAC/ITAR where applicable).
3. **Incoterms 2020** — governs cost/risk split; must be internally consistent with the invoice.
4. **Carrier / forwarder documentation requirements.**

Rule of thumb: **the destination customs authority has final say on classification and valuation.**

HS code and declared value must satisfy the import country, not just the shipper's convenience.

4. When documents in one shipment disagree with each other

The physical package and the most-regulated document win, in this order:

1. **What is actually on/in the package** (marks, labels, weighed quantity) — reality beats paper.
2. **Shipper's Declaration for Dangerous Goods** (for anything hazmat-related).
3. **Air Waybill / Bill of Lading** (the transport contract).
4. **Commercial Invoice** (value/classification).
5. **Packing List** (piece/weight detail).

Example: if the packing list says 4 cartons and the AWB says 3, and the pieces on the dock are 3, the finding is "packing list overstates piece count — correct packing list to 3," not the reverse.

5. Severity mapping (how precedence becomes a flag)

-  **Critical** — violates level 1-3 of the applicable DG chain, the product-label temperature, or destination customs law; or a mismatch that would get the shipment rejected, held, or make it unsafe/illegal to tender. Shipment does **not** go until fixed.
-  **Major** — violates a lower-precedence rule, an internal document-to-document mismatch that is correctable before tender, or a missing non-safety field. Fix before tender.
-  **Minor** — formatting, legibility, best-practice, or advisory items that don't block the shipment but should be cleaned up.

Every flag names the level it came from (e.g. "Critical — IATA DGR 67th ed., dry ice net weight must be in kg; State variation USG also applies").